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China Financials | Asia Pacific

Catalyst Preview: What's Ahead?

We highlight three key catalysts for China financials: 1) strong earnings momentum in 2Q26 and 3Q26 with improving fundamentals; 2) abating of national team selling; and 3) lower macro concerns in 2H26 with back-end-loaded government bond issuance.

Key Takeaways

- We expect continued improvement in revenue and profit growth at China banks, supported by stabilizing NIM, fee income recovery and manageable credit risks.
- Loan and financial asset yields could gradually stabilize or rebound with the removal of policies and window guidance with pure quantitative targets.
- More fee income and investment income opportunities from cross-border business, active capital markets and some shift in new savings away from deposits.
- Credit risks should remain manageable with lower industrial risks and contained retail risks from household de-leveraging.
- Concerns over national team selling and the slowdown in government bond issuance should ease significantly in 2H26.

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CHINA FINANCIALS

Asia Pacific

Industry View

Attractive

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AlphaSignals Catalyst Event Preview

Company / Catalyst	Date	Importance	Surprise
China CITIC Bank Corporation Limited 0998.HK			
Stabilizing financial asset yields	3Q26	High	↑ Modest upside surprise
2Q26 and 3Q26 results	3Q26	High	↑ Modest upside surprise
Takeaways:			
• Sequentially higher NIM in 2Q26 • Recovery in fee income • Stable retail credit quality • Accelerating revenue and profit growth			
NFRA data on banking industry for 2Q26	3Q26	High	↑ Modest upside surprise
Takeaways:			
• NIM could remain stable or trend up • Non-NII (including fee income) growth could continue to improve • Potentially better profit trend			
National team selling	3Q26	High	↓ Modest downside surprise
Bank of China Limited 3988.HK			
Stabilizing financial asset yields	3Q26	High	↑ Modest upside surprise
2Q26 and 3Q26 results	3Q26	High	↑ Modest upside surprise
Takeaways:			
• Sequential NIM rebound in 2Q26 with some support by offshore market • A modest pick-up in non-NII growth driven by wealth management, payment and investment income • Modestly higher profit growth vs. 1Q26 • Updates in cross-border and offshore opportunities, including RMB internationalization			
NFRA data on banking industry for 2Q26	3Q26	High	↑ Modest upside surprise
Takeaways:			
• NIM could remain stable or trend up • Non-NII (including fee income) growth could continue to improve • Potentially better profit trend			
China Construction Bank Corp. 0939.HK			

Company / Catalyst	Date	Importance	Surprise
Stabilizing financial asset yields	3Q26	High	↑ Modest upside surprise
2Q26 and 3Q26 results	3Q26	High	↑ Modest upside surprise

Takeaways:

- Above-peers NIM level following 1Q26 trend
- More meaningful revenue contribution from investment income
- Modestly higher profit growth vs. 1Q26

NFRA data on banking industry for 2Q26	3Q26	High	↑ Modest upside surprise
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Takeaways:

- NIM could remain stable or trend up
- Non-NII (including fee income) growth could continue to improve
- Potentially better profit trend

Bank of Ningbo Co. Ltd 002142.SZ

Stabilizing financial asset yields	3Q26	High	↑ Modest upside surprise
2Q26 and 3Q26 results	3Q26	High	↑ Modest upside surprise

Takeaways:

- More notable NIM rebound following 1Q26
- More robust fee income growth
- Quicker than industry average loan growth with continued market share gains
- Double-digit revenue and profit growth
- Update on non-finance service products

NFRA data on banking industry for 2Q26	3Q26	High	↑ Modest upside surprise
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Takeaways:

- NIM could remain stable or trend up
- Non-NII (including fee income) growth could continue to improve
- Potentially better profit trend

Source: Company data, Morgan Stanley Research

Valuation Methodology and Risks

Bank of Ningbo Co. Ltd (002142.SZ)

We continue to use a three-stage dividend discount model, probability-weighted 60% base, 20% bull, 20% bear, based on our view of asset yield rebound and smooth risk digestion for China's banks in a positive development loop, and an equally likely polarity for credit risks and global demand. The discount rate is 11.4% in the base case, and we assume 13.7% for second-stage and 13% for long-term ROE with a 58% dividend payout ratio in the long run.

Risks to Upside

- Noticeable reduction in policy intervention amid a rapid rebound in business fundamentals.
- Better-than-expected NIM and asset quality.
- Higher-than-expected non-interest income from stronger wealth management business revenue.

Risks to Downside

- Risks from potential change in leadership.
- Higher default risks from SME and retail business expansion.
- Pricing pressure from destructive competition in the market.

China Construction Bank Corp. (0939.HK)

3-stage dividend discount model, probability-weighted 60% base, 20% bull, 20% bear, based on our view of asset yield rebound and smooth risk digestion for China's banks, and an equally likely polarity for credit risks and global demand. Base case assumptions: 9.0% discount rate, 8.9% second-stage ROE, 8.3% long-term ROE, 34% long-term dividend payout. We apply a 1.14 RMB/HKD exchange rate and 10% discount on target P/B for H share price target.

Risks to Upside

- Noticeable reduction in policy intervention amid a rapid rebound in business fundamentals.
- Higher-than-expected non-interest income from stronger equity market.

Risks to Downside

- Further slowdown in China's macro economy.
- Accelerated deposit rate deregulation.
- Potential higher credit risk of SME loans as CCB shifts loan allocation to inclusive finance.
- Large social responsibility as state-owned bank.

China CITIC Bank Corporation Limited (0998.HK)

3-stage dividend discount model, probability-weighted 60% base, 20% bull, 20% bear, based on our view of asset yield rebound and smooth risk digestion for China's banks, and an equally likely polarity for credit risks and global demand. Base case assumptions: 9.8% discount rate, 9.2% second-stage ROE, 8.8% long-term ROE, 39% long-term dividend payout. We apply a 1.14

RMB/HKD exchange rate and 10% discount on target P/B for H share price target.

Risks to Upside

- Faster-than-expected fee growth.
- Better-than-expected asset quality.
- Noticeable reduction in policy intervention.

Risks to Downside

- Asset quality could deteriorate if economic trends worsen.
- Unexpected decrease/slowdown in fee income.
- Social responsibilities continue to weigh in.

Bank of China Limited (3988.HK)

3-stage dividend discount model, probability-weighted 60% base, 20% bull, 20% bear, based on our view of asset yield rebound and smooth risk digestion for China's banks, and an equally likely polarity for credit risks and global demand. Base case assumptions: 8.4% second-stage ROE, 8.2% long-term ROE, 35% long-term dividend payout. We apply a 1.14 RMB/HKD exchange rate and 10% discount on target P/B for H share price target.

Risks to Upside

- Noticeable reduction in policy intervention amid a rapid rebound in business fundamentals.
- Better-than-expected NIM and asset quality.
- Higher-than-expected non-interest income from stronger wealth management business revenue.

Risks to Downside

- Social responsibilities coupled with a market downturn.
- Further economic slowdown in overseas markets, which could put pressure on credit quality and asset yield.

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(as of June 30, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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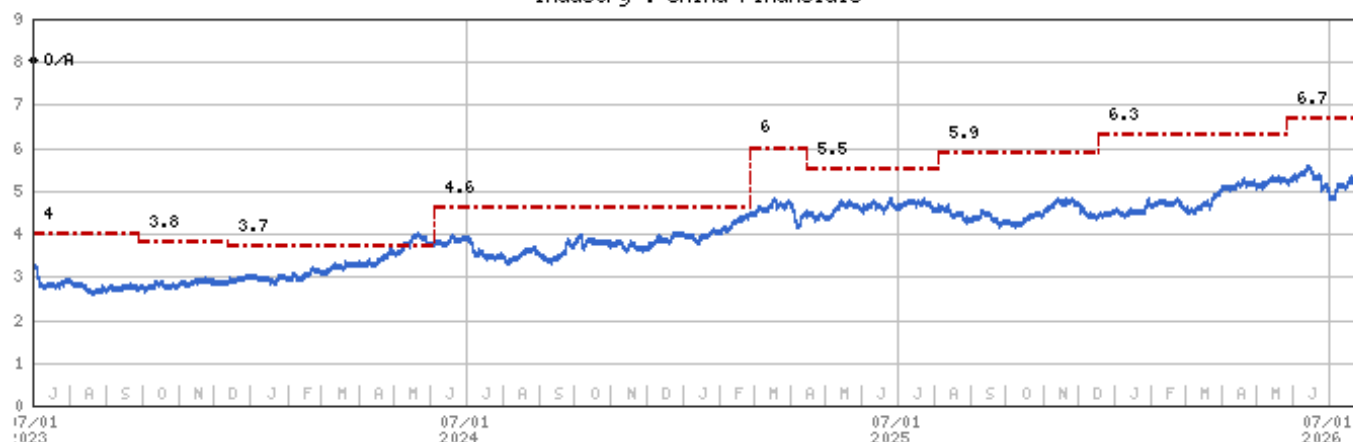
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Stock Price, Price Target and Rating History (See Rating Definitions)

Bank of China Limited (3988.HK) - As of 07/26/26 GMT in HKD
Industry : China Financials



Stock Rating History: 7/1/21 : 0/A

Price Target History: 5/20/21 : 4.3; 11/10/21 : 4.4; 5/20/22 : 4.1; 9/19/22 : 3.4; 5/12/23 : 4; 9/28/23 : 3.8; 12/13/23 : 3.7; 6/5/24 : 4.6; 2/26/25 : 6; 4/16/25 : 5.5; 8/5/25 : 5.9; 12/18/25 : 6.3; 5/26/26 : 6.7

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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Bank of Ningbo Co. Ltd (002142.SZ) - As of 07/26/26 GMT in CNY
Industry : China Financials



Stock Rating History: 7/1/21 : NA/A; 8/17/22 : 0/A

Price Target History: 8/17/22 : 40; 9/19/22 : 40.2; 5/12/23 : 44.4; 9/28/23 : 35.8; 12/13/23 : 30.5; 6/5/24 : 34.3; 2/26/25 : 39.2; 4/16/25 : 35.6; 8/5/25 : 41.1; 3/18/26 : 45; 5/26/26 : 48.3

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

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China CITIC Bank Corporation Limited (0998.HK) - As of 07/26/26 GMT in HKD
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INDUSTRY COVERAGE: China Financials

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/24/2026)
Chiyao Huang		

China International Capital Corp. Ltd. (3908.HK)	O (02/28/2025)	HK\$22.14
China Merchants Securities Co Ltd (600999.SS)	U (09/29/2022)	Rmb18.65
China Merchants Securities Co Ltd (6099.HK)	U (10/29/2024)	HK\$15.36
CITIC Securities Co. (6030.HK)	O (07/10/2026)	HK\$27.76
CITIC Securities Co. (600030.SS)	O (08/07/2025)	Rmb27.95
East Money Information Co Ltd (300059.SZ)	E (09/19/2025)	Rmb19.40
Futu Holdings Ltd (FUTU.O)	O (11/18/2024)	US\$99.36
Galaxy Securities (6881.HK)	E (02/27/2020)	HK\$7.51
Galaxy Securities (601881.SS)	U (09/29/2022)	Rmb12.45
GF Securities (000776.SZ)	E (08/07/2025)	Rmb21.70
GF Securities (1776.HK)	E (01/06/2023)	HK\$17.19
HTSC (601688.SS)	E (09/23/2024)	Rmb20.40
HTSC (6886.HK)	E (09/23/2024)	HK\$17.06
Richard Xu, CFA		
Agricultural Bank of China Limited (601288.SS)	E (05/07/2019)	Rmb6.66
Agricultural Bank of China Limited (1288.HK)	O (10/19/2020)	HK\$5.88
Bairong Inc. (6608.HK)	E (09/09/2025)	HK\$4.98
Bank of Beijing Co Ltd (601169.SS)	E (08/17/2022)	Rmb5.06
Bank of Chengdu Co Ltd (601838.SS)	O (08/17/2022)	Rmb18.45
Bank of China Limited (601988.SS)	E (05/07/2019)	Rmb6.01
Bank of China Limited (3988.HK)	O (01/10/2020)	HK\$5.33
Bank of Communications (3328.HK)	U (05/20/2022)	HK\$7.34
Bank of Communications (601328.SS)	U (09/05/2014)	Rmb7.04
Bank of Hangzhou Co Ltd (600926.SS)	E (08/17/2022)	Rmb15.74
Bank of Ningbo Co. Ltd (002142.SZ)	O (08/17/2022)	Rmb32.01
China CITIC Bank Corporation Limited (601998.SS)	E (04/16/2025)	Rmb7.61
China CITIC Bank Corporation Limited (0998.HK)	O (04/16/2025)	HK\$7.45
China Construction Bank Corp. (0939.HK)	O (10/11/2012)	HK\$8.78
China Construction Bank Corp. (601939.SS)	E (05/07/2019)	Rmb10.26
China Everbright Bank Co Ltd (6818.HK)	U (05/12/2023)	HK\$3.15
China Everbright Bank Co Ltd (601818.SS)	U (05/20/2022)	Rmb3.15
China Merchants Bank (600036.SS)	O (01/07/2019)	Rmb39.20
China Merchants Bank (3968.HK)	O (09/20/2018)	HK\$48.76
China Minsheng Banking Corp. (600016.SS)	O (08/28/2025)	Rmb3.50
China Minsheng Banking Corp. (1988.HK)	O (05/12/2023)	HK\$3.56
Chongqing Rural Commercial Bank (3618.HK)	U (05/12/2023)	HK\$6.40
Hua Xia Bank (600015.SS)	U (06/30/2015)	Rmb7.01
Industrial and Commercial Bank of China (1398.HK)	O (08/09/2013)	HK\$7.19
Industrial and Commercial Bank of China (601398.SS)	E (09/19/2022)	Rmb7.75
Industrial Bank Co. Ltd. (601166.SS)	O (02/25/2019)	Rmb18.33
Lufax (LU.N)		US\$1.38
Ping An Bank (000001.SZ)	O (05/07/2019)	Rmb11.10
Postal Savings Bank of China Co Ltd (1658.HK)	O (11/01/2016)	HK\$4.91
Qifu Technology Inc (QFIN.O)	O (08/25/2020)	US\$13.19
Shanghai Pudong Development Bank (600000.SS)	E (08/05/2025)	Rmb9.04

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.